



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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Result Update @ Dalal & Broacha

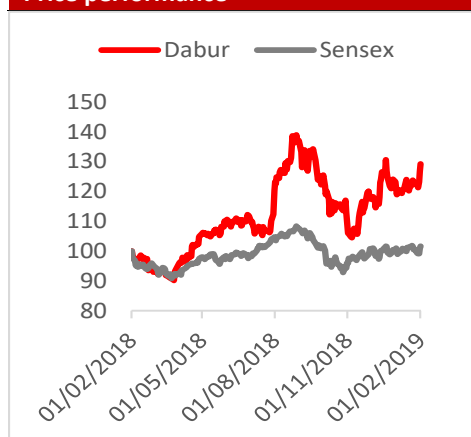
ACCUMULATE

Current Price	448
52 Week Range	312/491
Target Price	460
Upside	3%

Key Share Data

Market Cap (Rs.bn)	790.41
Market Cap (US\$ mn)	11039.24
No of o/s shares (mn)	1766.3
Face Value	1
Monthly Avg.	
vol(BSE+NSE) Nos'000	2781.3
BSE Code	500096
NSE Code	DABUR
Bloomberg	DABUR:IN

Price performance



% Shareholding	Dec-18	Sept-18
Promoters	67.89	67.88
Public	32.11	32.12
Others	0	0
Total	100.0	100.0

Results In line with estimates on back of a strong festive quarter with a domestic volume growth of 12.4%

Revenues: Grew by 11.8% to Rs. 21992.1mn; Domestic Business (72.7% of overall Revenues, amounting to Rs. 15878.30mn) grew by 15.02%, volume growth of 12.4%/ International Business grew by 3.55% to Rs. 5498mn, CCG stands at 1%

Raw Material Costs: as a % of sales stood at 50.7% as against 48.4% due to higher crude oil prices

Advertisement Costs: declined 4% to Rs. 1780.7Mn, V/s Rs. 1853.2Mn ; as a % of sales, it stands at 8.1% as against 9.4%

Other Expenses: moderately increased by 1.1% to Rs. 2228.7mn as against Rs. 2204.7mn; as a % of sales it stands at 10.2% v/s 11.2%.

EBITDA: increased by 10.4% amounting to Rs. 4453.9Mn as against Rs. 4034Mn, Margins stood at 20.3% v/s 20.5%

Finance Costs: grew 27% to Rs. 167.4mn as against Rs.132.1mn

Segment wise

Hair Oils Grew 23.6%, with high growth in all brands as well as market share gain of 50bps ; Amla Sarso is now Rs. 1bn+ brand; Almond oil growing at over 140% ; currently has 5% market share

Shampoos grew 25.2% on back of activations and visibility drives. Past 4 quarters had seen 30%+ growth, and the high growth momentum still continues in this category Home Care grew 8.9% led by strong growth Sanifresh

Skin Care grew by 19.3% led by double digit growth in Dabur Gulabari and good performance in bleach portfolio.

Oral Care grew by 10% on back of 11.1% growth in toothpaste (Red toothpaste grew 22.6%) ; Rs. 10 packs introduced in entire oral care range, earlier it was only in Babool

The Overall home and Personal Care Category grew by 16.3% in this quarter Health Supplements grew 13.8% on back of double digit growth in both Chywanprash (+10%) and Dabur Honey (+19.8%)

Rural Growth is growing 4% more than Urban growth excluding Modern Trade; including MT the delta shrinks to 1%.

Digestives grew 22.5% on back of strong performance of Hajmola and Pudina Hara.

OTC grew 17.7% on back good growth in Lal Tail, Honitus and Shilajit

Ethical portfolio grew by 17.4% on back of strong performance across products

The Entire *Health Care* Category grew 15.9% in this Quarter

Foods grew 11.5% with a market share gain of 300 bps to 56% over same quarter last year

Mohit Malhotra will succeed in CEO position after Sunil Duggal w.e.f 1st April, 2019

Valuation: At CMP of Rs. 448, the stock is trading at 39x FY21E EPS of Rs. 11.5, we maintain **ACCUMULATE** for this stock.

Financials (Rs. Mn)

Year	Op Income	% Growth	EBIDTA	OPM%	PAT	% Growth	EPS	PE (x)	ROE%	ROCE%
FY17	76,135.9	-3.2%	15,089.4	19.8%	12,765.4	2.0%	7.2	61.8	26%	29%
FY18	77,218.5	1.4%	16,174.4	20.9%	13,660.5	7.0%	7.8	57.8	24%	27%
FY19E	86,497.9	12.0%	17,318.3	20.0%	14,427.3	5.6%	8.2	54.8	26%	30%
FY20E	98,573.9	14.0%	20,730.4	21.0%	17,350.2	20.3%	9.8	45.6	26%	31%
FY21E	1,12,002.3	13.6%	24,342.7	21.7%	20,333.1	17.2%	11.5	38.9	26%	32%



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Dabur India Particulars (Rs. Mns)	Q3FY18	Q3FY19	9MFY18	9MFY19
Revenue from Operations	19664.4	21992.1	57154.3	64048.60
Less: Excise Duty	0	0	0	0
Net Sales	19664.4	21992.1	57154.3	64048.6
<i>Growth</i>		11.8%		12.1%
Other Income	663.4	752.5	2319.4	2301.10
Total	20327.8	22744.6	59473.7	66349.7
<i>Growth</i>		11.9%		11.6%
Expenses				
cost of materials consumed	8049	8447.8	23190.2	25902.10
Purchase of stock in trade	2397.8	1981.4	5347.6	6010.10
Changes in inventories of stock in trade	-923.3	723.7	-97.5	484.80
COGS	9523.5	11152.9	28440.3	32397
<i>% of sales</i>	48.4%	50.7%	49.8%	50.6%
<i>Growth</i>		17.1%		13.9%
Employee Benefit Expense	2048.3	2375.9	6120.5	6960.30
<i>% of sales</i>	10.4%	10.8%	10.7%	10.9%
<i>Growth</i>		16.0%		13.7%
Other Expenses	2204.7	2228.7	6460.2	6762.30
<i>% of sales</i>	11.2%	10.1%	11.3%	10.6%
<i>Growth</i>		1.1%		4.7%
Advertisement and Promotional Expense	1853.2	1780.7	4810.7	5105.60
<i>% of sales</i>	9.4%	8.1%	8.4%	8.0%
<i>Growth</i>		-3.9%		6.1%
Total	15629.7	17538.2	45831.70	51225.20
<i>% of sales</i>	79.5%	79.7%	80.2%	80.0%
<i>Growth</i>		12.2%		11.8%
EBITDA excluding other income	4034.7	4453.9	11322.6	12823.4
EBITDA MARGINS	20.5%	20.3%	19.8%	20.0%
<i>Growth</i>		10.4%		13.3%
EBITDA including other income	4698.1	5206.4	13642	15124.5
<i>% of sales</i>	23.1%	22.9%	22.9%	22.8%
<i>Growth</i>		10.8%		10.9%
Depreciation	404.5	448.5	1195.9	1306.80
<i>Growth</i>		10.9%		9.3%
EBIT	4293.6	4757.9	12446.1	13817.7
Finance costs	132.1	167.4	398.1	471.80
<i>Growth</i>		26.7%		18.5%
PBT and JV and Exceptional items	4161.5	4590.5	12048	13345.9
<i>% of sales</i>	20%	20%	20%	20%
<i>Growth</i>		10.3%		10.8%
profit/loss from JV	1.7	5.2	4.2	10.10
exceptional items	0	0	145.4	0.00
PBT	4163.2	4595.7	11906.8	13356
Tax Expense				
Current tax	792.9	935.9	2193.2	2619.20
Deferred tax	40	-12.3	108	-10.80
Total	832.9	923.6	2301.2	2608.4
Tax Rate	20%	20%	19%	20%
PAT	3330.30	3672.10	9605.60	10747.60
NPM	16.4%	16.1%	16.2%	16.2%
<i>Growth</i>		10.3%		11.9%
Extraordinary item	0.00	0.00	0	0.00
Other Comprehensive Income	-274.8	-112.3	-287.8	-35.20
Total Comprehensive Income	3055.50	3559.80	9317.80	10712.40
Minority Interest	9.10	11.60	23.70	28.60
NPAT	3321.20	3660.50	9581.90	10719.00
NPM	16.3%	16.1%	16.1%	16.2%
<i>Growth</i>		10.2%		11.9%
Adjusted PAT	3318.48	3652.19	9692.42	10702.75
Equity	1761.5	1761.5	1761.5	1766.3
Face Value	1	1	1	1
Number of Shares	1761.5	1761.5	1761.5	1766.3
Basic EPS Calculated	1.88	2.07	5.45	6.08



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